A Tax on Luxury Goods

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Abstract

This appendix proposes a broad tax on luxury goods as a new EU own resource, bundled with the EU-wide abolition of VAT refunds for departing non-EU visitors. Both components rest on the same finding: because national luxury taxes are competed downwards, raising a euro through luxury taxation costs EU countries substantially less than a euro of economic burden. Countries keep taxes on portable luxury goods low to attract internationally mobile shoppers, and taxes on residence-based luxury goods, such as high-end cars, low to attract wealthy residents. We therefore propose a European luxury surcharge: a uniform ad valorem rate levied on the part of an item's price that exceeds a category-specific threshold, assessed by VAT-registered vendors on the existing VAT return and paid into the Union budget. A 20% rate would raise between €33 and €45 billion a year, depending on how narrowly the taxable tier of each category is drawn; the same design at 40% would raise between €56 and €77 billion. Taxing any single category in isolation would place a disproportionate burden on a few member states, but the broad base proposed here, which spans luxury cars, personal luxury goods, luxury hospitality, yachts and fine wines and spirits, distributes contributions across countries far more evenly relative to GDP: bundling the categories removes 36% of the dispersion that taxing them separately would create. The countries that would still contribute more than their GDP share, chiefly France, Italy and Spain, are also those that would gain most from the coordinated abolition of VAT refunds, worth up to €4 billion a year in national receipts. The package is therefore plausibly capable of attracting the unanimity it requires. It is also desirable on its own terms: an EU-wide surcharge of 20% is justified by status externalities alone, and luxury taxation restores some of the progressivity that tax competition has eroded from income and wealth taxes, without weakening incentives to save, to invest or to give.

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1 Introduction

There are strong economic reasons, reviewed in Section 2, for taxing luxury goods more heavily than other goods. Yet when each country sets its own luxury taxes, competition pushes those taxes down. For portable luxury goods, a country that keeps its rates low attracts and retains shoppers, and collects indirect tax revenue on everything else those shoppers consume on site, none of which is refundable. For non-portable goods taxed on a residence basis, such as luxury cars, low rates serve to attract and retain internationally mobile high earners and wealthy households.

The United Kingdom's post-Brexit abolition of its VAT Retail Export Scheme made these spillovers unusually visible: a substantial part of tax-free luxury spending shifted to continental capitals that had retained the scheme, above all Paris and Milan.[1] The episode is instructive because the reform proposed here is the mirror image of the British one, applied simultaneously by all 27 member states, and therefore free of the diversion margin that dominated the British experience.

This is exactly what makes luxury taxation a promising own resource: a common tax corrects a distortion that tax competition creates. Even a member state that would not find it optimal to raise luxury taxes unilaterally may find it in its interest to vote for an EU-wide surcharge, since the surcharge removes the risk of losing shoppers or residents to its neighbours. Put differently, each member state benefits from its neighbours' luxury taxation through the shoppers and residents it displaces, and an EU-wide measure lets all of them capture that benefit at once.

We argue further that there are advantages to the *bundled* approach of introducing an EU-wide luxury tax to fund the Union budget, as against the *separated* approach of mandating minimum national luxury taxes while funding the Union through the traditional GNI-based contributions. Two problems, the undertaxation of luxury caused by tax competition and the chronic difficulty of funding the Union, are best solved by a single instrument.

The first argument is that bundling avoids aggravating tax competition for high incomes and high wealth. Under the separated approach, mandatory minimum luxury taxes would make each wealthy resident more valuable to the treasury that hosts them, and would therefore strengthen, not weaken, the unilateral incentive to cut top income tax rates. Under an own-resource design the revenue accrues to the Union whichever member state collects it, so no such incentive arises.

The second argument is generic but decisive. Compare voting on two reforms separately with voting on their combination. If each reform commands unanimity on its own, so does the bundle; the converse does not hold.[2] Bundling therefore weakly expands the set of reforms that can clear the unanimity requirement. Section 4 develops both arguments.

2 The economic case for taxing luxury

2.1 Progressivity

Luxury consumption is strongly correlated with income and wealth, so a luxury tax is progressive, and progressivity is valuable to the extent that the existing tax system supplies too little of it. The standard objection is that the existing system reflects a long process of learning and deliberation in which the benefits of progressivity have already been traded off against its costs. Progressive luxury taxation blunts work incentives much as a progressive income tax does, and it makes a country less attractive to high earners. **?** gives the sharpest statement of the argument: under certain technical conditions, any redistribution achieved by making commodity taxation progressive can be achieved more cheaply by equalising commodity tax rates and making the income tax more progressive instead.

This argument is on firm ground as a guide to unilateral national policy. It does not even depend on work disincentives being the binding constraint. Where the binding constraint is the international mobility of high earners, the logic is more direct still: progressive commodity taxation reduces a country's attractiveness to

[1] The magnitude is disputed. The Office for Budget Responsibility's review of the 2020 costing revised the assumed tax-base elasticity down from -1.9 to a central -1.2, precisely because the diversion of purchases to competing European destinations proved smaller than first assumed (**?**). Industry-commissioned studies claim far larger effects.

[2] In our case, bundling is not merely the sum of the two components: by the first argument it also yields a welfare gain that the separated approach does not. We set that effect aside here for analytical clarity.

high earners in much the same way as progressive income taxation, so a country that wishes to maintain a given level of attractiveness does best to tax all commodities alike, leaving consumption choices undistorted, and to push the income tax to the highest progressivity compatible with that constraint.

The conclusion changes once the question becomes what taxes the Union should levy. Precisely because the progressivity of income taxation has been eroded by competition for internationally mobile high earners, particularly within the EU (**??**), luxury taxation can do useful work in partially restoring it. One might reply, again in Kaplow's spirit, that the right instrument is then a progressive EU-wide income tax. But agreeing on a common income tax base across 27 legal systems is a formidable undertaking. The most prominent proposal for an EU-wide surtax on high incomes recognises as much: **?** find it necessary to create a new legislative assembly, parallel to the European Parliament, to deliberate on questions of this complexity. Agreeing on a list of goods to be treated as luxuries for the purposes of an EU-wide surcharge is, by comparison, straightforward.

Progressive commodity taxation has a further advantage over progressive income taxation: it acts in part as a tax on wealth, since luxury spending is correlated with wealth and a luxury tax reduces the purchasing power of a given stock of it (**?**). The erosion of wealth taxation by the international mobility of the wealthy (**?**) is thus an additional argument for taxing luxury. Crucially, this quasi-taxation of wealth leaves incentives to save and to invest intact, unlike an actual wealth tax, so most of the objections that have been raised against wealth taxation, in the recent French debate among others, do not apply. Nor does luxury taxation discourage private philanthropy, as progressive income and wealth taxes do.

Determining the optimal luxury tax on these grounds is beyond the scope of this report. We therefore adopt a deliberately conservative approach and derive a benchmark rate that ignores the progressivity argument entirely, resting instead on signalling and status externalities alone. As the next subsection shows, this yields a substantial rate even in a world where income and wealth were taxed at their optimal EU-wide progressivity.

2.2 Status goods and the optimal rate

A second rationale for taxing luxury arises from signalling and status effects. For many luxury goods there is strong evidence that part of the motive for purchase is the information the purchase conveys to others, about the buyer's wealth or income, or about the seriousness of a gift. That information is conveyed just as well when the good is taxed more heavily. In the limiting case of a *pure diamond good* (**?**), where signalling is the only motive, any tax increase is welfare-improving: the same information is transmitted with fewer real resources. In the realistic case of an impure diamond good, where signalling coexists with genuine enjoyment of the good, there is an interior optimal rate.

A closely related model treats the status benefit as fixed in aggregate, so that luxury consumption imposes a classical externality calling for a Pigouvian tax. For empirically plausible elasticities the two models give similar answers. For tractability we report results from the status-externality model as derived by **?**.

The critical parameter is the following: per euro spent on a luxury good, how many euros of benefit does the buyer derive from the status the purchase confers? Call this ϕ. It is generally hard to estimate, but Bursztyn et al. (2018) exploit an unusual opportunity to do so: in a randomised experiment, consumers were offered functionally identical platinum credit cards, differing only in whether the platinum status was visible to others. The experiment implies $\phi = 1/3$.

? obtains a simple expression for the optimal luxury tax t_{luxury} as a function of the rate on other goods t_{other}, the markups prevailing in each sector, and ϕ:

$$1 + t_{\text{luxury}} = (1 + t_{\text{other}}) \cdot \frac{1}{1-\phi} \cdot \frac{1 + \text{markup}_{\text{other}}}{1 + \text{markup}_{\text{luxury}}}.$$

With $t_{\text{other}} = 0.18$, $\phi = 1/3$, $\text{markup}_{\text{other}} = 0.12$ and $\text{markup}_{\text{luxury}} = 0.40$, this gives $t_{\text{luxury}} = 0.42$: luxury goods should bear a total ad valorem rate of 42%, some 20 percentage points above the average EU VAT rate of 22%. Since the calculation ignores every rationale other than status, it should be read as a conservative estimate. Accounting for the erosion of income and wealth tax progressivity by tax competition, together with the correlation of luxury spending with income and wealth, would point to a considerably higher rate.

2.3 What each member state would choose alone

The rationales above apply to each country taken individually: a national population gains when the status externalities that arise among its own residents are corrected. But a government setting its luxury tax to maximise national welfare faces three further effects that a global planner would not:

1. the markups earned on luxury goods and services accrue partly to owners in other countries;
2. part of luxury consumption on national territory is undertaken by visitors, who therefore bear part of the burden;
3. a higher national rate sends both residents and visitors elsewhere to make their purchases.

The first two push national rates above the globally optimal level; the third pushes them below it. Which dominates is an empirical question. **?** calibrates the model for portable personal luxury goods and finds that the third effect outweighs the first two combined. Tax competition therefore distorts national luxury taxes downwards, which is precisely the case for setting the tax at EU level.

The same calibration yields the key quantitative result of this appendix: starting from a situation in which VAT refunds have been abolished, the marginal cost of raising one euro through an EU-wide luxury tax is €0.88.[3] Raising a euro for the Union through the luxury surcharge is thus about 12% cheaper, in aggregate economic burden, than raising it through GNI-based contributions.

Two effects commonly and rightly invoked against luxury taxation in Europe are already embedded in that figure. First, the model captures the effect on the European luxury industry through a sectoral markup higher than elsewhere in the economy, reflecting the brand-based differentiation characteristic of the sector. Second, it accounts for the diversion of purchases to the United Kingdom, Switzerland and the Gulf, and for the associated loss of VAT on the non-refundable spending of the shoppers who divert.

2.4 Effects beyond the Union

Some luxury goods carry large negative externalities of their own. The role of precious stones in financing conflict and in undermining democratic accountability, documented by the extensive literature on the resource curse, is a further reason to expect the optimal rate on the relevant categories to exceed the status-based benchmark derived above.

Abolishing VAT refunds would also benefit third countries whose own luxury tax revenue is eroded by traveller smuggling. Today a non-EU resident obtains a full refund of EU VAT on departure, which creates a wide margin for reselling luxury goods at home, notably in China. Since auditing travellers is costly, the incentive not to declare purchases at customs is strong, and the Chinese government has responded by cutting its own luxury tax rates.[4]

Removing the refund would narrow the smuggler's margin and reduce the number of people who find smuggling worthwhile. It would also allow China to raise its luxury tax by the amount of the former EU refund without increasing the net incentive to smuggle. Third countries would thus regain the ability to set luxury tax rates closer to what they judge appropriate, and the labour currently devoted to smuggling would be released to productive uses.

3 The proposal

We propose a single EU-wide indirect tax, levied at a uniform ad valorem rate on the part of an item's price that exceeds a category-specific threshold, assessed on the first supply to a final consumer or on importation,

[3] This estimate carries large uncertainty and we have found no other in the literature. It is derived for one category of luxury, leather goods, as a proof of concept; extending the calibration to other categories is straightforward but requires substantial additional data work.

[4] Like most countries outside the EU, China taxes luxury. Since 1994 it has levied a consumption tax on fifteen categories of goods, including tobacco, alcohol, cosmetics, jewellery, luxury watches, yachts and passenger vehicles, collected mainly at the production or import stage rather than at retail (PwC, 2025; China Briefing, 2024). For passenger cars the rate is graduated by engine displacement, from 1% below 1.0 litre to 40% above 4.0 litres. Since December 2016 a 10% surcharge has applied to super-luxury vehicles above a price threshold, originally RMB 1.3 million net of VAT and reduced to RMB 900,000 in 2025 (**??**), which is the basis for the threshold quoted in Section 3.2.

and collected by VAT-registered vendors through the existing VAT return. Its yield accrues to the Union budget as an own resource. We call it the European luxury surcharge.

3.1 Definition

Definition 1 (European luxury surcharge)**.** *The surcharge is defined by five elements.*

(i) Scope. *A set of product categories $\mathcal{C}$ is enumerated in the legal act.*

(ii) Thresholds. *Each category $c \in \mathcal{C}$ carries a threshold $\bar{p}_c \geq 0$, expressed as an amount per item before tax.*

(iii) Rate. *A single rate t^{EU} applies uniformly across categories to the value in excess of the threshold.*

(iv) Collection. *The surcharge is declared and paid in a separate box on the VAT return of the person liable, and is subject to the same registration, invoicing, record-keeping and audit obligations as VAT.*

(v) Attribution. *Amounts collected are attributed to the member state of taxation and transferred to the Union budget under the Own Resources Decision.*

Two properties of this design deserve emphasis. It requires no new administration: the taxable amount is the one already computed for VAT, the liable person is already registered, and the audit trail already exists. And because the tax is assessed per item above a threshold, it reaches the top of each market without touching the middle of it.

3.2 Thresholds

Some thresholds could be set to zero, for instance for jewellery containing specific precious stones. For most categories, and for vehicles above all, a positive per-item threshold is essential if the tax is to reach luxury rather than middle-class consumption.

Thresholds need not be invented: comparators are already in use across the world.

- **Personal luxury goods.** Korea's Individual Consumption Tax applies to watches and bags above roughly €1,300, and to jewellery, fur and leather goods above roughly €3,200. France's *taxe forfaitaire sur les objets précieux* applies to jewellery, watches, art and antiques above €5,000 per item.
- **Vehicles.** Comparators are more dispersed. Australia's Luxury Car Tax threshold stands at roughly €46,000, rising to roughly €69,000 for zero-emission vehicles; Canada's at roughly €65,000; China's at roughly €110,000; and Greece's at €17,000. Denmark's registration tax, the closest European analogue to a graduated luxury rate on vehicles, reaches its 85% bracket at roughly €8,200 and its top 150% bracket at roughly €25,500 once the VAT-inclusive base is restated net of VAT.
- **Vessels.** Canada applies a separate and much higher threshold of roughly €156,000.

The dispersion of vehicle thresholds is itself informative: it shows that the choice is a political one, made repeatedly and without technical difficulty, in jurisdictions of very different income levels.

3.3 A uniform rate

Aggregate welfare would in principle be maximised by differentiating rates across categories, according to how far consumption is status-driven and how strongly it correlates with income and wealth. A uniform rate is nonetheless the better proposal.

The reason is that rate differentiation is close to zero-sum between member states. Taxes on luxury cars fall disproportionately on Germany; taxes on portable luxury goods fall disproportionately on France. Negotiating category-by-category rates would set the two against each other, whereas a single rate is a natural focal point. A uniform rate also happens to distribute the burden reasonably evenly, as Section 6.4 shows.

3.4 Abolishing VAT refunds

We propose to couple the surcharge with an EU-wide abolition of VAT refunds for departing non-EU visitors. Refunds overwhelmingly benefit luxury purchases, since only high-value goods repay the cost of carrying them home and reclaiming the tax. Abolition would raise up to €4 billion a year for national budgets, and would fall almost entirely on non-residents.

3.5 Adoption

Both components, the surcharge and the abolition of refunds, require unanimity in the Council.[5] There appears to be no legal or legitimacy obstacle on the international side. We have found no analysis questioning the legality of abolishing VAT refunds, and no country objected when the United Kingdom abolished its own.

4 Why the revenue should accrue to the Union

The proposal addresses two inefficiencies at once: luxury tax rates depressed by tax competition, and chronic underfunding of Union-level public goods. One could instead address them separately, with an EU-wide minimum luxury tax whose revenue member states retain, and a separate increase in GNI-based contributions. Call this the separated approach. Each component would require its own unanimous vote.

The separated approach has been the dominant model, at both global and European level. The global minimum tax on corporate income imposes no earmarking: it addresses the race to the bottom in rates and the inefficiency of transfer pricing, while the funding of global public goods is raised separately, through voluntary contributions and, at the UN, through assessed contributions proportional to GDP. Within the EU the pattern is the same. Most tax coordination imposes rules on member states without earmarking their proceeds, as with the restrictions on the VAT rates member states may apply. The plastic-based own resource is a rare exception that both addresses an externality and funds the budget; the bulk of the budget still comes from GNI-based contributions and from the VAT-based resource, neither of which aims to correct undertaxation.

There is a coherent rationale for the separated approach. If the international public goods financed by the Union generate benefits roughly proportional to member states' GNI, then funding them from GNI-based contributions makes every member state better off, provided only that the public goods return more than a euro per euro spent, which is what underprovision means. In practice, however, benefits and GNI are not proportional, which is a plausible explanation for the difficulty of agreeing to expand GNI-based contributions. Similarly, some member states would lose from an EU-wide luxury tax whose revenue stayed national. But if the opposing coalitions differ between the two components, the bundle can command unanimity where neither component would.

The second argument is economic rather than procedural. Suppose a minimum luxury tax were adopted with revenue retained nationally. Each government would then capture the luxury tax paid by every wealthy resident it attracts, which raises the fiscal value of attracting them and intensifies the competition that already depresses top income tax rates in the EU (**??**). Under the own-resource design this effect largely disappears. A government values a euro of common revenue at well below a euro, since it cannot retain it and receives only a fraction of the resulting public goods; and if a high earner moves to another member state, the luxury tax revenue accrues to the Union all the same. The own-resource design therefore leaves income tax competition roughly where it is, while the separated approach would worsen it.

5 The tax base

Table 1 gives the EU-27 market size of the sectors concerned, net of VAT and existing excises. Two perimeters are shown, because the choice matters more than any other assumption in this appendix.

[5] Enhanced cooperation is available in principle but is a poor fit here: a luxury tax applied by only some member states is precisely the configuration that displaces consumption to the others, which is the distortion the proposal exists to remove.

The *brand* perimeter is the one published by the industry: it counts all spending on vehicles sold by high-end marques. The *taxed-tier* perimeter counts only the genuinely luxury segment. For automotive, the two differ by a factor of five, €111 billion against €20 billion, because most of what premium marques sell is not a luxury car in any useful sense. For every other sector the two coincide at the level of aggregation available to us.

Neither perimeter is exactly the base of the proposed tax, which is the value of each item *in excess of* its threshold. That base lies between the two: below the brand perimeter, since the first tranche of every car's price escapes the tax, and above the taxed-tier perimeter, since cars outside the top segment still contribute the part of their price above the threshold. We therefore carry both figures through to the revenue estimates and report a range.

Table 1: EU-27 spending on high-end and luxury sectors (2024–2025 estimates), net of VAT and consumption taxes

	EU-27 spending (€bn/yr)	
Sector	Brand perimeter	Taxed tier
Automotive	111	20
Personal luxury goods	81	81
Hospitality (luxury hotels, cruises)	54	54
Yachts	25	25
Fine wines and spirits	22	22
Gourmet food and fine dining	18	18
Design and high-end furniture	11	11
Art and antiques	5	5
Business aviation	2	2
Total	**329**	**238**

Notes: Own calculations. Global sector values from European Cultural and Creative Industries Alliance and Bain & Company (2025) are multiplied by the share purchased in Europe (published for personal luxury goods at 30.3%, D'Arpizio et al., 2024; constructed for the other sectors) and by the EU-27 share of Bain's European perimeter (74%, excluding the United Kingdom, Switzerland, Turkey and Norway). The hospitality share is assumed rather than published. Art, antiques and business aviation lie outside the ECCIA perimeter and are added separately. The yacht figure is estimated independently as a consumption flow: a territorial estimate of yacht-related consumption in EU waters for vessels above 10 metres, based on the Italian tax introduced in 2012 (**??**).

6 Revenue estimates

6.1 Method

The proposed excise applies a uniform rate to the value above a category-specific threshold. Setting those thresholds is beyond the scope of this report, so we estimate revenue on the hypothetical assumption that thresholds are zero and that categories are drawn as in our data sources. Provided thresholds are set at a relatively low level, the approximation is a good one; the two perimeters of Table 1 bracket the error.

Assume that pre-tax prices are unaffected by the surcharge,[6] and consider a category bought only by residents, with constant price elasticity of demand ϵ. Write p for the pre-tax price, t_i for country i's own ad valorem rate on the category[7] and t_{EU} for the additive EU surcharge. Quantity consumed is then

$$Q_i = Q_i^0 \left(\frac{1 + t_i + t_{\mathrm{EU}}}{1 + t_i} \right)^{\epsilon},$$

where Q_i^0 is the status quo quantity. Revenue from the EU surcharge collected in country i is $T_{i,\mathrm{EU}} = t_{\mathrm{EU}}\, p\, Q_i$.

[6]This holds in the monopolistic competition models used, among others, by **?** to analyse luxury taxation.
[7]Including VAT and any existing excise.

Writing status quo consumer spending as $R_i^0 = p\,Q_i^0(1+t_i)$ and rearranging,

$$T_{i,\mathrm{EU}} = \frac{t_{\mathrm{EU}}}{1+t_i+t_{\mathrm{EU}}}\; R_i^0 \; \left(\frac{1+t_i+t_{\mathrm{EU}}}{1+t_i}\right)^{1+\epsilon}.$$

6.2 Calibrating the elasticity

For portable personal luxury goods, the most directly relevant tax-base elasticity comes from the OBR's review of the abolition of the UK VAT Retail Export Scheme (**?**). The original 2020 costing assumed −1.9, itself a 50% scale-up of a UK tourism elasticity of −1.28 intended to capture the greater price sensitivity of tax-free shoppers. On review, the OBR judged this too high and revised its central estimate to approximately −1.2.

It matters what that figure measures. It is a *tax-base* elasticity, bundling the genuine consumption response with the diversion of tourist purchases to competing destinations, above all Paris and Milan, which retained tax-free shopping when the UK withdrew it. It is therefore dominated by a destination-substitution margin specific to a unilateral national measure.

For an EU-wide surcharge the relevant elasticity should be smaller in absolute value. The −1.2 estimate is large precisely because a visitor choosing where to buy a handbag could avoid the British price increase at no cost to their itinerary. A surcharge applied simultaneously in all 27 member states closes that margin: relocating a purchase within the EU no longer avoids the tax, and only two weaker channels remain, namely genuine reductions in consumption and diversion outside the Union, principally to the United Kingdom, Switzerland and the Gulf and Asian hubs.

Theory points the same way. For a pure diamond good (**?**), where spending is motivated solely by signalling, $\epsilon = -1$. Where consumers also enjoy the good intrinsically, the elasticity may lie on either side of −1. The econometric evidence, summarised in Table 2, finds category-level demand distinctly inelastic.

Table 2: Category-level own-price elasticities of demand, luxury-relevant categories

Category	Own-price elasticity	Source
Jewellery and watches (US, PCE aggregate, 1947–2004)	−0.38 short run; −0.17 steady state	**?**, Table 15.15
Gold imports, jewellery-dominated (India, aggregate)	−0.5 to −1.0 long run; more elastic in the short run	**?**
Wine (aggregate consumption)	−0.69 (mean of reported estimates)	**?**
Spirits (aggregate consumption)	−0.80 (mean of reported estimates)	**?**
New passenger vehicles (US, whole market)	−0.34 (long run)	**?**

Notes: Only whole-category estimates are included. Estimates at brand or model level overstate $|\epsilon|$ for our purpose, since inter-brand substitution is not available in response to a category-wide tax.

We therefore report results for $\epsilon = -1$, the diamond-good benchmark, and for $\epsilon = -1.2$, the OBR's post-review central estimate. The second is conservative twice over: it is a tax-base elasticity dominated by an intra-European diversion margin that an EU-wide tax closes, and the econometric evidence in Table 2 suggests genuine demand is considerably less elastic still.

6.3 Aggregate revenue

Taking the average statutory EU VAT rate of 22% as the status quo rate t_i in every member state (**?**), aggregate revenue is

$$\sum_{i\in\mathrm{EU}} T_{i,\mathrm{EU}} = \frac{t_{\mathrm{EU}}}{1.22+t_{\mathrm{EU}}}\left(\frac{1.22+t_{\mathrm{EU}}}{1.22}\right)^{1+\epsilon}\sum_{i\in\mathrm{EU}} R_i^0.$$

A surcharge of $t_{\mathrm{EU}} = 0.20$ brings the total ad valorem rate to 42%, the benchmark derived in Section 2. Table 3 reports the resulting revenue for both perimeters and both elasticities, together with two higher rates.

Table 3: Annual revenue from the European luxury surcharge (€ bn)

	$\epsilon = -1$		$\epsilon = -1.2$	
Surcharge t_{EU}	Taxed tier	Brand perimeter	Taxed tier	Brand perimeter
20% (total rate 42%)	34	46	33	45
40% (total rate 62%)	59	81	56	77
60% (total rate 82%)	78	108	72	100

Notes: Own calculations from the formula above, applied to the two perimeters of Table 1 (€ 238 and € 329 billion) at a status quo rate of 22%. The headline figure quoted in this report is the $\epsilon = -1.2$ row at a 20% surcharge: € 33–€ 45 billion.

The 20% row is our central estimate: **€ 33 to € 45 billion a year** for the Union budget, depending on the perimeter. It is conservative in three respects. It applies a rate justified by status externalities alone, ignoring the progressivity argument of Section 2, which points to a higher rate. It uses an elasticity larger in absolute value than the category-level evidence supports. And it excludes the additional national revenue from abolishing VAT refunds.

Higher rates are not merely arithmetic. The socially optimal rate is certainly below the revenue-maximising one: at some point high rates would blunt the work incentives of high earners who value the luxury consumption their earnings buy. But since tax competition has pushed EU tax progressivity below its optimum, the optimal luxury rate is plausibly well above the 42% that status externalities alone justify. Quantifying it properly would require embedding commodity taxation in a model of tax competition for mobile high earners and is beyond the scope of this report.

6.4 Revenue by member state

Bundling all luxury categories into a single instrument, rather than proposing category-specific taxes one at a time, is a deliberate design choice. Table 4 shows why: the revenue each member state would contribute is not far from proportional to its GDP.

That descriptive finding matters for adoption, under two assumptions. First, that the benefits of Union spending are roughly proportional to GDP, which is plausible for international public goods such as pandemic preparedness. Second, that the burden of the tax is roughly proportional to the revenue collected on a member state's territory. The second is imperfect, since incidence also runs through profits and through the shifting of consumers across borders, but it is a reasonable first approximation.

Under these assumptions, the reform is more likely to command unanimity the less dispersed are the ratios of contribution to GDP. Additional own resources either expand Union spending or displace the residual GNI-based contributions. If every member state contributed the same share of its GDP, rational voting would deliver unanimity whenever the aggregate benefit-cost ratio exceeded one.

Table 4: Luxury tax base and EU surcharge revenue by member state

Member state	Base €bn	Base % GDP	Rev. % GDP	Ratio	Member state	Base €bn	Base % GDP	Rev. % GDP	Ratio
France	62.0	2.12	0.29	1.28	Romania	3.2	0.81	0.11	0.49
Germany	57.7	1.32	0.18	0.79	Finland	2.9	1.01	0.14	0.61
Italy	56.5	2.57	0.35	1.55	Hungary	2.5	1.27	0.17	0.77
Spain	30.9	1.98	0.27	1.20	Croatia	2.3	2.57	0.35	1.55
Netherlands	11.0	1.02	0.14	0.62	Luxembourg	1.8	2.01	0.27	1.21
Austria	9.9	1.98	0.27	1.19	Bulgaria	1.6	1.49	0.20	0.90
Belgium	9.8	1.56	0.21	0.94	Cyprus	1.5	4.19	0.57	2.53
Poland	8.0	0.95	0.13	0.57	Slovakia	1.3	1.04	0.14	0.63
Sweden	7.1	1.32	0.18	0.80	Slovenia	1.1	1.54	0.21	0.93
Portugal	6.4	2.23	0.30	1.35	Malta	0.9	5.03	0.69	3.04
Greece	6.3	2.71	0.37	1.63	Lithuania	0.8	0.89	0.12	0.54
Czechia	4.6	1.28	0.18	0.78	Estonia	0.5	1.40	0.19	0.84
Denmark	4.2	1.02	0.14	0.62	Latvia	0.5	0.93	0.13	0.56
Ireland	3.8	0.71	0.10	0.43	**EU-27**	**299**	**1.67**	**0.23**	

Notes: "Base" is annual spending on the luxury categories of Table 1, net of VAT. "Rev. % GDP" is the revenue accruing to the Union budget at a 20% surcharge with $\epsilon = -1.2$, as a share of the member state's GDP. "Ratio" is the member state's share of total revenue divided by its share of EU-27 GDP in 2024; a ratio above one means the member state contributes more than its economic weight. Shares of GDP use EU-27 nominal GDP of €17.9 trillion in 2024. The estimates apply to a small surcharge, for which revenue is proportional to the status quo base. Sources: Eurostat (2024), ACEA (2026) and European Cultural and Creative Industries Alliance and Bain & Company (2025), with a number of approximations and ad hoc assumptions available on request.

Setting aside Cyprus and Malta, whose small size makes ad hoc compensation cheap,[8] the highest ratio of contribution to GDP share is 1.63, for Greece. Under the assumptions above and rational voting, unanimity then requires that a euro of Union spending yield at least 1.63 euros of aggregate benefit.

In practice unanimity is not determined by the single most burdened member state, since countries at somewhat lower ratios, Croatia for instance, could also object. What matters is the dispersion of the ratios, and bundling reduces it substantially: dispersion is 36% lower than the average that would result from taxing each sector separately.[9] The reason is that sector burdens are far from perfectly correlated: Germany bears a disproportionate share of luxury car taxation and a small share of personal luxury goods taxation, and France the reverse.

6.5 Should heavily contributing member states be compensated?

The natural way to compensate a member state that contributes more than its GDP share is to reduce its GNI-based contribution. If member states believe own resources substitute one-for-one for GNI-based contributions, this looks like a straightforward route to unanimity. It carries a serious drawback.

Consider the extreme case in which GNI-based contributions are adjusted so that every member state's net contribution equals its GDP share. Each member state then effectively keeps every euro of luxury tax it collects, since collecting more than its GDP share is reimbursed one-for-one. That restores exactly the incentive the own-resource design was meant to remove: attracting wealthy residents becomes fiscally valuable again, because of the luxury tax they would pay, and competition on top income and wealth taxes intensifies.

The damage scales with the size of the member state's luxury tax base. The pragmatic course is therefore to compensate only member states that are both small in this sense and disproportionately burdened. Applied to Table 4, that means Cyprus, Malta and possibly Croatia, at a combined cost well under €1 billion a year.

[8] Their combined contribution would be under €0.4 billion a year, so any compensation could be handled by a marginal adjustment to their GNI-based contributions without weakening the mechanism.

[9] Measured by the GDP-weighted coefficient of variation of the ratio. A base-weighted average of the sector-level variances implies an aggregate CV of 0.557; the actual aggregate CV is 0.354, so roughly 36% of the dispersion cancels when sectors are combined.

Compensation of this scope improves the odds of unanimity without materially eroding the gains the reform is meant to deliver.

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